Types of Analytics

BY THE END:

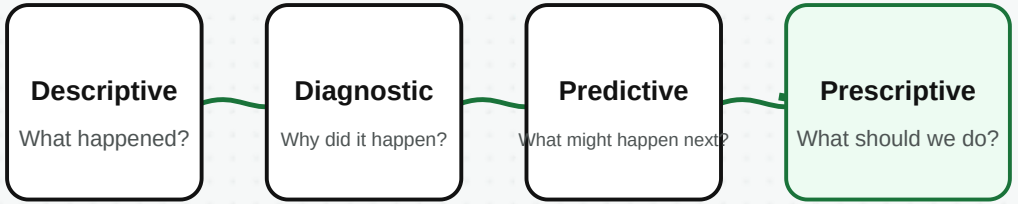
You can explain the difference between descriptive, diagnostic, predictive, and prescriptive analytics.

Overview

A manager looks at last month's sales report and asks four questions: "What happened? Why did it happen? What might happen next? What should we do?" Each question needs a different type of analysis.

What is analytics?

Analytics means using data to understand what happened, why it happened, what might happen next, and what to do.



The four types of analytics

TYPE	QUESTION	EXAMPLE
Descriptive analytics	What happened?	The Mogadishu shop sold 12% more rice last month
Diagnostic analytics	Why did it happen?	The Mogadishu shop sold more rice because it stayed open longer
Predictive analytics	What might happen next?	The Mogadishu shop may keep selling more rice if it stays open longer
Prescriptive analytics	What should we do?	Keep the longer opening hours in Mogadishu and try them in Hargeisa

Why this matters

These four types often work together. First, you learn what happened. Then you ask why it happened. That answer can help you predict what might happen next. Finally, all this information can help you decide what to do.

If a company wants to predict what will happen next, it should first understand what has already happened.

